

MICRON TECHNOLOGY INC MU S

December 05, 2025 - 2:40pm EST
by

HelmHammerhand

			2025	2026
Price:	226.65	EPS	8.29	17.05
Shares Out. (in M):	1,122	P/E	29.9	13.3
Market Cap (in \$M):	254,410	P/FCF	152.5	29.2
Net Debt (in \$M):	3,416	EBIT	10,785	24,559
TEV (in \$M):	257,826	TEV/EBIT	23.9	10.5
Borrow Cost:	General Collateral			

Description

Overview

Micron:

- A second-rate operator in an industry characterized by irrational race to the bottom economics, and
- Currently enjoys an EV/Sales multiple in the 99nth percentile, despite being
- Disproportionately at risk by changes in AI sentiment



The Memory Cycle & Industry – Irrational Oligopoly

Micron was [last written up](#) a little over a year ago, and has appreciated 140% since then, well in excess of the author's price target of 85% upside. Mitsui has [a brief, current primer](#) on some of the technological developments since the prior writeup accounting for new LLM-driven data center focused memory chips. The memory industry is complex, and I suggest you review this [2020 VIC writeup for more general background on the industry](#). However, I think it's actually helpful to take a step back from the technical minutiae.

There are just three key points about memory:

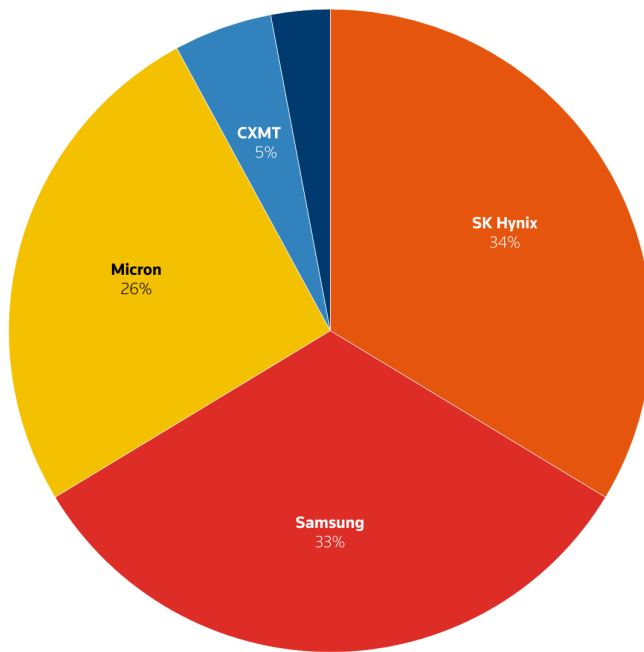
- Micron has two lines of business: DRAM (short term memory a processor uses to conduct operations with), generally representing 75% of profits, and NAND (long-term storage on a solid state drive or even USB flash drive that a processor will load into the RAM to do operations on). HBM, high-bandwidth memory, is a high-margin subset of DRAM used primarily with GPUs. Micron does not produce HDD (hard drive disks), like Seagate does.
- Demand is omnipresent and growing: Memory is in everything, and the number of gigabytes required climbs by at least 10% every year (e.g. memory content in premium smartphones will double every five years or so)
- Memory is a commodity, and manufacturers have struggled to differentiate their products

One "take it as a given" fact you'll find in a number of memory industry overviews is that the industry has consolidated to just three manufacturers (SK Hynix, Samsung, and Micron) who have an incentive to act rationally and not oversupply the market.

Three companies dominate memory production

South Korea's SK Hynix and Samsung and U.S.-based Micron account for almost all of the global market for DRAM, with China's CXMT in fourth place.

● SK Hynix ● Samsung ● Micron ● CXMT ● Other



Note: Percentages represent share of the dynamic random-access memory market by revenue.

Source: Counterpoint Research | Brenda Goh

This sounds logical, but hasn't proven out in practice: in the twelve years since 2013, when the industry formally consolidated, Micron has had four years of negative or flat FCF. The same is true for SK Hynix, the other "pure play" of the memory oligopoly (Samsung doesn't disclose capital expenditures specific to their memory unit, so it isn't possible to compare them).

Micron Is a Limited Beneficiary of AI

The last ten years saw streaming video, the COVID boom in personal computing, premiumization of smartphones, and large language models: these are boom times for semiconductor demand. But as with any boom, the returns have been unevenly distributed.

First, let's compare Micron with SK Hynix, its closest competitor. Even though they are in identical semiconductor verticals and have followed much the same ebb and flow of FCF, SK Hynix has clearly out-operated Micron, earning \$14 billion in FCF in 2025 compared to none for Micron, and managing to significantly increase their FCF in the 2021-2025 period from the prior five years – while Micron failed to break even.

	SK Hynix	MU
Revenue Average 2016-2020	\$ 33,306.30	\$ 21,578.60
Revenue Average 2021-2025	\$ 40,314.40	\$ 27,298.40
2025/LTM Revenue	\$ 59,902.00	\$ 37,378.00

	SK Hynix	MU
FCF Average 2016-2020	\$ 2,980.80	\$ 2,321.60
FCF Average 2021-2025	\$ 4,737.20	\$ (413.80)
2025/LTM FCF	\$ 14,683.00	\$ 696.00

Note: these data are presented in five year blocks to help account for the highly cyclical natural of semiconductors. Micron's FCF figures are adjusted for SBC – SK Hynix has none.

Next, a selection of other semiconductor companies in adjacent verticals:

	TSMC	INTC	SAMSUNG	AMD	NVDA	AVGO	LRCX
Revenue Average 2016-2020	\$ 35,832.60	\$ 68,565.60	\$ 205,587.60	\$ 6,508.20	\$ 8,853.60	\$ 19,641.80	\$ 12,729.3
Revenue Average 2021-2025	\$ 81,704.80	\$ 60,569.20	\$ 220,656.80	\$ 24,105.40	\$52,396.40	\$ 41,594.40	\$ 16,524.2
2025/LTM Revenue	\$ 119,137.00	\$ 53,439.00	\$ 224,797.00	\$ 32,027.00	\$ 130,497.00	\$ 59,926.00	\$ 18,435

	TSMC	INTC	SAMSUNG	AMD	NVDA	AVGO	LRCX
FCF Average 2016-2020	\$ 7,984.60	\$ 15,021.80	\$ 22,772.40	\$ 165.40	\$ 2,581.80	\$ 7,455.60	\$ 3,036.00
FCF Average 2021-2025	\$ 18,457.20	\$ (7,727.40)	\$ 9,815.80	\$ 3,061.80	\$ 20,901.60	\$ 18,322.00	\$ 4,027.60
2025/LTM FCF	\$ 29,271.00	\$ (8,418.00)	\$ 19,575.00	\$ 5,448.00	\$60,853.00	\$ 24,930.00	\$ 5,414.00

The table above is a ringing endorsement of specialization. TSMC, a pure-play fab, has roundly outcompeted Samsung and Intel, who are both manufacturing and designing chips and failing to realize any margin benefit. Likewise, AMD, Nvidia, and Broadcom, fabless chip designers, have seen massive FCF benefits over time and from the recent AI boom. Even LRCX, a “semicap” company that supplies capital equipment to fabs, has seen great growth.

Micron is the inferior player in the inferior industry.

China’s Entry into the Market

To make matters worse, there is a possibility of permanent impairment of the business model. The current relatively stable structure of the memory oligopoly is under threat: [ChangXin Memory Technologies \(CXMT\)](#) is the primary player here, but YMTC, which has been limited to NAND, is [entering the DRAM market as well](#). Both companies are supported by the Chinese state, at once allowing them to run without necessarily needing to turn a profit, but also earning them various bans and sanctions.

On the one hand, they are at least a couple years behind on their technology, and they have no access [to the latest EUV equipment from ASML](#) and others to close the gap. On the other hand, they [have consistently exceeded expectations](#) and are ramping capacity as fast as possible, and will shortly IPO. This will likely have no bearing on the current shortage episode, but in the early 2030s the competitive landscape could look completely different.

This Time Isn’t Different

“I’ve never seen a shortage not followed by a glut” – N. Taleb.

Micron’s recent meteoric stock price rise (+175% YTD) is driven by a couple factors:

1. Process leadership: Micron has (perhaps) regained technical leadership against the competition in the HBM4 generation, possibly leading to placement wins in forthcoming GPUs.
2. Memory shortage: recent Reuters headlines like [“The AI frenzy is driving a memory chip supply crisis”](#) capture the current sentiment. Hyperscalers are issuing open-ended price-agnostic orders. All chips sold out in 2026. Etc.

Together, these factors have led to a 500% increase in revenue for Micron in products directly affected by AI demand, like HBM and server DRAM. However, overall revenue at Micron only increased 50%, demonstrating just how limited this book of business is.

That said, the shortage stories are literally true, and sure, let’s say it’s Micron’s time to lead for a bit. Taking that into account, we can project cash flows for the next decade and discount them back (8.5% cost of capital, 5% terminal growth rate) to calculate a present-day value, and give Micron credit for a really high 2026 FCF figure (well in excess of current run-rate guidance).

Base: onetime 2026 FCF of \$8 billion, then \$4 billion annually in FCF for the next four years, stepping up to \$6 billion annually the five years after that.

Best: onetime 2026 FCF of \$12 billion, then \$7.5 billion annually in FCF for the next four years, stepping up to \$12 billion annually the five years after that.

	2026 FCF	Cumulative 2027-2035 FCF	DCF EV
Base	\$ 8 billion	\$46 billion	\$105 billion
Best	\$12 billion	\$90 billion	\$205 billion

Micron’s current enterprise value is \$250 billion, suggesting about a 20% downside even in the best possible scenario for that business. The base case scenario, a 60% downside, assumes Micron will produce \$54 billion of FCF in the next ten years, despite having produced just \$10 billion in the last 10.

As an Aside: Shorting the AI Bubble

I don't think you have to have a view that there is an "AI bubble" to short Micron, although it certainly helps make the case. That said, I think the current AI-focused data center buildout will not materialize to the extent suggested by the loudest boosters, and maybe less than even a reasonable "base case" might expect.

There are any number of threads to unpack here, but I'll just make a few quick points on this issue:

1. The datacenter buildout is largely financed by hyperscale US firms who are now lagging in global adoption of their models. From [MIT and HuggingFace](#): "US open-weight industry dominance by Google, Meta, and OpenAI has declined sharply in favor of unaffiliated developers, community organizations, and, as of 2025, Chinese industry, with DeepSeek and Qwen models potentially heralding a new consolidation of market power."
2. The new players in the space, the "neoclouds" that are financing the remainder of the buildout, are structurally unprofitable and [McKinsey does not expect them to be able to continue to reinvest in deploying additional capacity](#).
3. The two largest scale players in the buildout, OpenAI and xAI, are unprofitable and don't have the revenue to support their committed CapEx. Sam Altman has "[declared a code red](#)", even as a diverse group of private equity, venture capital, and hyperscale firms issue [over \\$100 billion in debt](#) to support OpenAI's ambitions. HSBC forecasts OpenAI's operating loss will grow indefinitely, nearing [\\$80 billion in 2030](#). Cash needs [are comparable at xAI](#) and Elon Musk is one of the last people you would recruit allocating capital.
4. [Circular financing between Nvidia, Coreweave, Oracle, and OpenAI](#) makes it difficult to determine a true economic rate of return on these investments.
5. AI fatigue/skepticism are real and growing – Census reports suggest [corporate adoption has plateaued at 11%](#), and while others show a higher figure ([Hartley et al at 37%](#)), they show a similar recent plateau.

Betting that AI booster sentiment will fade seems relatively safe: they will not, in fact, invent a machine god. But actually making that bet is challenging – the main AI beneficiaries in semiconductors, as shown above, are enormously and durably profitable. Most AI beneficiaries with negative free cash flow (like neocloud Applied Digital, Coreweave, or even Oracle) either already have high short interest or are in 30+% drawdowns. And of course the largest pure plays in the space like OpenAI, Anthropic or xAI are privately held.

But Micron, so far, seems to have totally escaped scrutiny. Short interest is about 2.5% and the market cap is \$250 billion, so you're unlikely to get squeezed. I haven't done any sentiment surveys, but you don't see any panicked Bloomberg headlines about Micron's solvency the same way you do Oracle.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Micron reports earnings next week and will offer a guide on their CapEx for calendar year 2026. The last update on CapEx, which was offered at the Global Technology conference on November 19, precipitated an 11% drop in the share price:

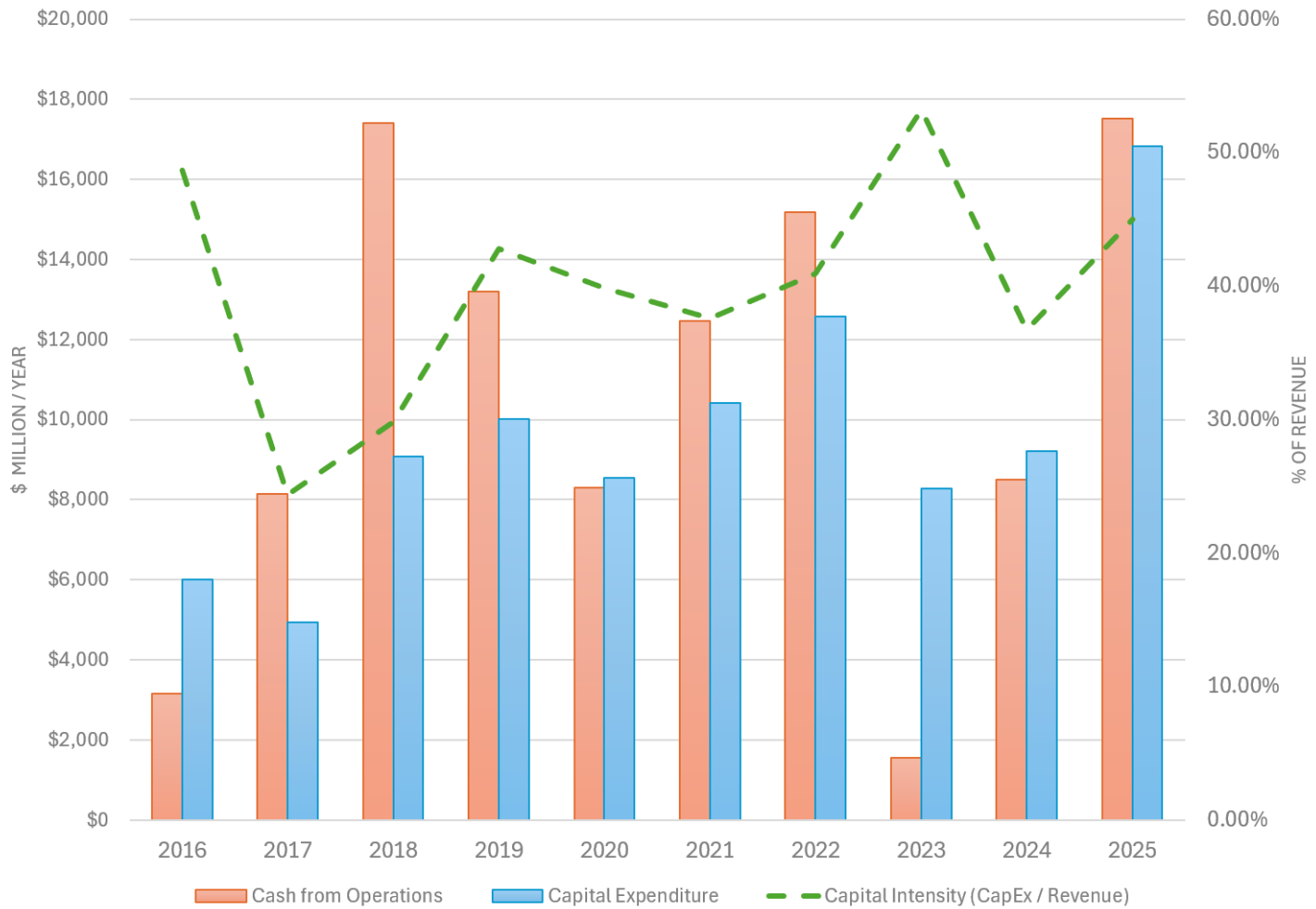
"I would just say that given the tightness in the market, given the duration of that tightness, which we now believe will be beyond '26, and given the customer interest in long-term or multiyear agreements, our CapEx that we had provided -- our CapEx number that we had provided, which was -- we had provided a run rate of about \$18 billion for the year. There's going to be pressure on that to come up this year."

Analysts currently estimate a 17% growth in CapEx against a 40% growth in cash from operations in 2026.

If the past ten years, which have seen a near-doubling in capital intensity against bouncy but overall stagnant free cash flow are any guide, that just won't happen.

[SBC added back to CapEx in chart]

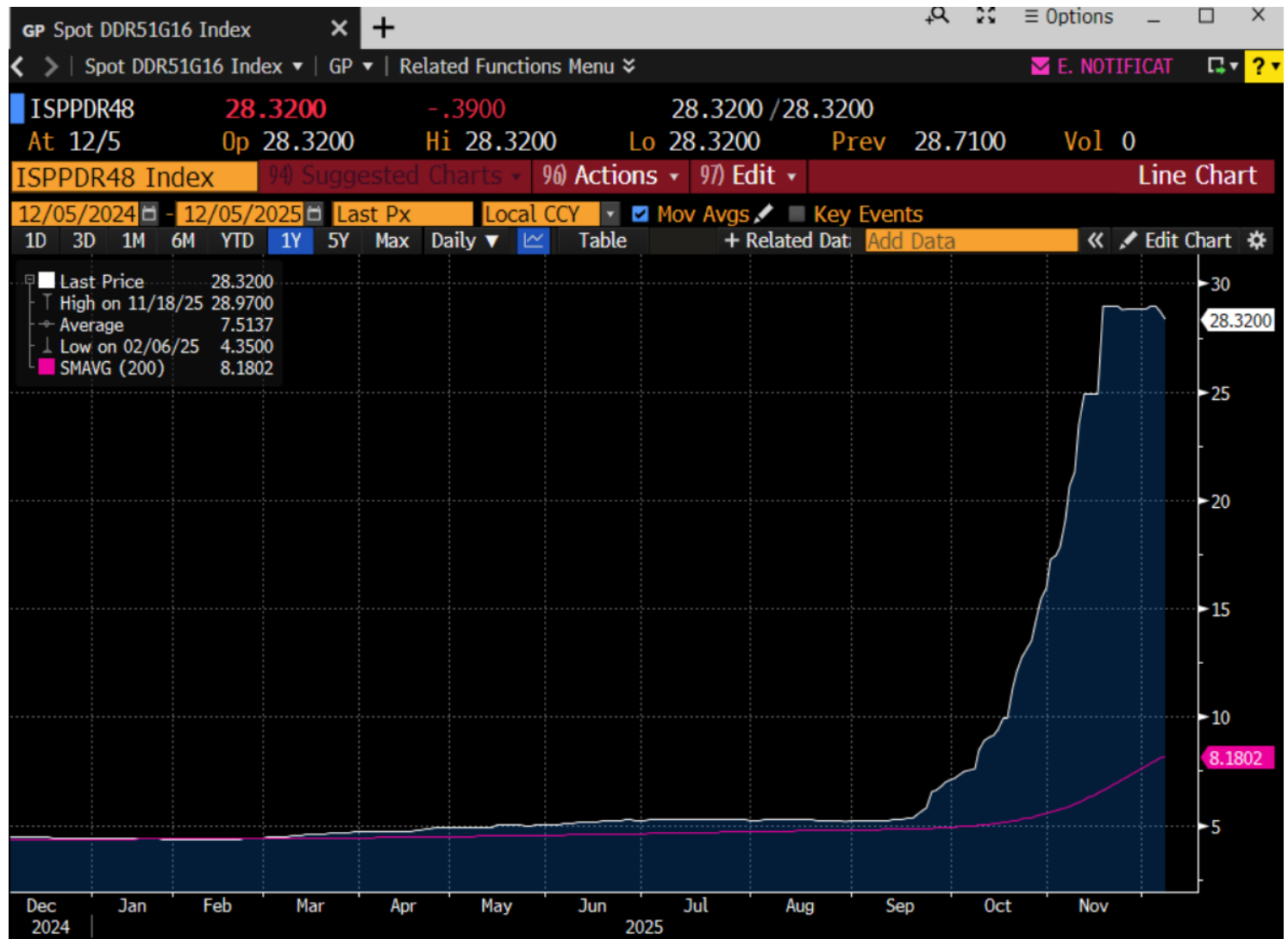
Increasing Capital Intensity Over Time



Messages

Subject
Entry
Member
Carefull

DRAM spot px's
12/05/2025 06:06 PM
miser861



Subject
Entry
Member

Re: DRAM spot px's
12/05/2025 09:59 PM
HelmHammerhand

Not doubting the data, just not sure how this translates into actual value for Micron. Spot market is a tiny part of their business (never comes up on calls, estimates are 10% of sales) - and it doesn't affect their fully contracted HBM, or their NAND. I think your chart absolutely points to a crazy high FCF year in 2026 - but what happens in 2027?

Subject
Entry
Member

Re: DRAM spot px's
12/06/2025 05:24 AM
virtualodin

Recent kink lower a bit worrisome for longs given how hard this stock ran on the move up in spot prices?

Subject
Entry
Member

Re: Re: DRAM spot px's
12/06/2025 04:32 PM
Shoe

I hear you, but DRAM is in shortage through 2026, and then in 2027 you have Rubin Ultra which needs 4x the DRAM. And no one is bringing on meaningful enough supply to derail it.

I think there are better things to short in the AI, e.g. AMD (hyped up lately, but really no legitimate wins; I'd argue OpenAI doesn't count), PLTR, even AVGO (could ASIC lose share to Mediatek or MRVL), or some of these optical / networking names (like ALAB ?)

Subject Re: Re: Re: DRAM spot px's
Entry 12/06/2025 06:54 PM
Member HelmHammerhand

Totally agree on AMD being an excellent short from here, PLTR same deal.

Re: the memory supply - I am skeptical about the 2027 story.

1. Micron guided to >\$18 billion in CapEx for 2026, after having just doubled Capex YoY from 2024 in 2025 - same deal at SK Hynix. Samsung guided to "a significant year-on-year increase versus 2025" in CapEx. Run-rate maintenance CapEx for Micron is probably around \$ 8 billion, so vast amounts are being spent on totally greenfield capacity here. It won't come online right away, but it will be there.
2. The amount of capacity coming online in late 2027 and thereafter is about as insane as the current shortage crisis. Some coverage here: [SK Hynix to Commit 600 Tril. Won to Yongin Project: First Fab to be Completed in 2027 - Businesskorea](#)
3. [SK Hynix & Samsung](#) are already actively shifting capacity back to DRAM to take advantage of the shortage, and SK Hynix is literally [just filling every corner of every fab](#) with commodity DRAM equipment.
4. I think you're right not to count OpenAI wins as not all that meaningful for AMD, and argue the same logic should be applied here.
5. [Price hikes at Dell](#) could trigger some short-term demand destruction that hurt Micron, who has largely lost to Samsung and SK Hynix at the high end of the market.
6. 2027 could see something like a 50% capacity increase by CXMT (from 7 to 10% of global supply). Again, competition at the low-end is going to be absolutely brutal.

Subject Insider buy
Entry 01/19/2026 12:20 AM
Member eigenvalue
 Director just bought \$8MM of stock, what do you think he is missing? Thank you.

Subject Re: Insider buy
Entry 01/19/2026 10:51 AM
Member Shoe
 I'm surprised the stock moved up so much on his purchase.

Subject Re: Re: Insider buy
Entry 01/19/2026 12:46 PM
Member Shoe
 Supposedly it was the 1st insider purchase in MU since 2022. More sign that DRAM will be in shortage until 2028 at least. There's not enough clean room space to even put new semi cap equipment

Subject Re: Re: Re: Insider buy
Entry 01/19/2026 02:38 PM
Member Thor25
 No position, but the dude worked at TSMC for 35+ years and was one of its top execs so while it's a chunky buy it is far from yolo for him. He is also in his 70s, so it might be more of a long-term view that he is taking vs. just trading a memory cycle.

I always think back to a very obvious quote an old man once said during a commodity price boom: the best cure for higher prices is higher prices. Even if it runs to 2028, when the end comes into sight the downward price drift will be rapid.

Subject Re: Re: Re: Re: Insider buy
Entry 01/19/2026 03:32 PM
Member HelmHammerhand

I mean the simple, boring answer is that insider buy or no, I can't really see how this stock works long-term. Micron just committed another \$2 billion to buy that elusive cleanroom space: <https://investors.micron.com/news-releases/news-release-details/micron-signs-letter-intent-purchase-tongluo-site-begin-0>

That's in addition to their now \$6 billion a quarter run-rate capex, against, granted, 10+ billion of cash from ops - but broadly speaking at this EV we're talking about paying something like 20x a historically anomalous peak of FCF. So far they've used all their windfall just to clear the decks on all the debt they incurred last time the industry blew up, in the now-forgotten era of 2022.

It sounds pretty crazy, but it bears reiterating: in the LTM Micron equity holders have seen precisely \$0.00 in FCF returned to them, if you net out SBC. If you include debt paydown, it's \$3 billion - and this is the best possible operating environment.

And while I certainly believe cleanroom space is scarce right now, LRCX is up 100+% in the last few months based on the idea that memory capex is going to explode. Evidently someone is expecting them to be able to make some incremental sales there. Said differently, LRCX and MU can't both be fully absorbing the same new profit pool.

Subject Re: Re: Re: Re: Re: Insider buy
Entry 01/19/2026 04:24 PM
Member Shoe

This market has been weirdly myopic for a while. Even in Q3 people thought semi caps were not going to benefit at all, which made no sense.

Now they're chasing DRAM and memory and semicaps, but the big compute names aren't going anywhere. I'd think NVDA needs to catch up stock wise, or the other stuff has to fall.

It seems investors are just chasing shortages now. On the GPU side, there's less perceived shortage now actually.

Next up on the shortage list is CPUs, or fiber optic cabling.

Subject Re: Re: Re: Re: Re: Re: Insider buy
Entry 01/19/2026 05:36 PM
Member eigenvalue

Is that why you think director of the company bought \$8MM worth of stock last week?

Subject Looks like a tempting short..
Entry 05/26/2026 11:38 PM
Member carbone959

A lot of people have made a strong case that storage stocks like WDC are no longer cyclical and now some are making the same argument for memory. But at the low-end there's clearly some competition for MU.

I'm already short a bit of EWY and either way this can now be played with DRAM too, but at some point this AI thing seems surreal, both because it looks like a bubble and simultaneously because it looks like a serious secular change in how we do things. In a world of robots maybe it's normal that all this hardware had to be repriced higher..

Subject Re: Looks like a tempting short..
Entry 05/27/2026 08:16 AM
Member bafana901

Yesterday MU was up 20% (5stddev) happened 6 times before. Before market it is up another 9%. From a quant perspective these moves have all reversed and the model is begging me to short. In the other corner is yesterday's UBS report with a price target = \$1 625, just in time for their large investor conference in Hong Kong. If I recall correctly Soros says be contrarian 20% of the time, 80% go with the crowd. No points for guessing whose side the crowd is on. If I do decide to put the quant short on it will be very small, maybe there is an easier trade somewhere else.

ResearchMicron Technology Inc
 LTAs Gain Traction; PT to \$1,625 with EPS Remaining Well >\$100
 Summary

With LTAs now firmly in place across most of the industry, we are again raising C2027-2029 estimates and expect EPS to remain comfortably >\$100 throughout the period, with MU generating over \$400B in FCF across the same timeframe. We believe the market will start to put a more "normal" multiple on the stock and MU will continue to re-rate higher as more details emerge about the structural changes AI has driven to the entire memory complex. Our supply chain work on Long Term Agreements (LTAs) across the memory industry suggests that up to 30% of DDR volumes industry-wide will be soon locked in at pricing that is just slightly below current levels and these agreements will allow MU to trade some near-term revenue for demand visibility and a smoother earnings profile. Consequently, we are raising EPS across C27/28/29E to \$155/\$167/\$117 (vs. \$133/\$122/\$77 prior) - and considering that investors typically reward stocks for durability and visibility, we see MU's EPS remaining >\$100 through C2029E as testament to the sort of lasting, structural change that should support a shift toward a broader semi multiple. Net, we lift our PT from \$535 to \$1,625, now based on ~15x NTM P/E (vs. prior SoTP) on C2029E EPS of \$117 (1-yr discounted), and reiterate Buy

Subject Re: Re: Looks like a tempting short..
Entry 05/27/2026 01:17 PM
Member HelmHammerhand

obviously this is just about the worst trade ever posted to VIC, and I was badly off on my estimates of short-term earnings capability - however, I don't see any evidence that the long-term structural dynamics of the industry have changed much at all (capex climbing all around, Chinese-domiciled competitors ramping), and obviously the CPU issues and overall component pricing dynamics probably lead to a little demand destruction, something I didn't touch on much. As upside-down as I am currently, I'm not all that tempted to close - not too hard to see a narrative changing and much more attractive opportunities to close the position.

So yes - as tempting as ever! and probably as wrong as ever, so safest to just avoid.

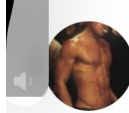
That said, the advantage of shorting Micron relative to other candidates is obviously much less apparent now, since at least it's a real business. Stuff like Redwire (RDW) that sunshine21 wrote up recently https://www.valueinvestorsclub.com/idea/REDWIRE_CORP/7960933028#description is a very clear near-term loser and since moved 100% up from the writeup price point, and even stuff like PLUG that's just a fraud has 4x in the last year, and so on. No point in trying to call a top, and they all move together so there's no point in worrying about diversifying all that much, but some tactical positions here seem like a great bet.

Subject Excess profits
Entry 06/25/2026 02:17 PM
Member natty813

How long before Trump and Bernie target the memory guys for price gouging, excess profitability and monopolistic behavior?

86% EBIT margins!!!!

Subject Re: Excess profits
Entry 06/25/2026 03:58 PM
Member natty813



zero hedge 
@zerohedge · 1h

Wait until he finds out about memory



Sen. Bernie ...  @SenS... · 1h

Corporate greed is Tim Cook, the billionaire Apple CEO, claiming that hiking prices on Apple products by over \$200 is "unavoidable" after it made \$112 billion in profits last ...

Subject Re: Re: Excess profits
Entry 06/25/2026 07:22 PM
Member mike126

I think any attempt to hit the memory makers with those accusations can be easily knocked back.

- 1) MU/Sanjay signing the SCAs (fka LTAs or LTSAs) dampens the price growth and (IMO) smoothes out the sine-curve of the cycle.
- 2) For prices to fall (or for price increases to moderate) from here means adding supply which in turn means getting more fab space and more tools, and both of these do not materialise overnight.
- 3) Apportioning blame for the current situation is tricky. "Why hasn't MU ordered more tools / done upgrades / expanded fab space earlier"? They didn't have the financial capability. As recently as summer 2023 Micron's revenues were falling 50% YoY and % gross margin was negative. FCF in fiscal 2023 was negative (and this is despite them cutting Capex 40%) and Micron's net cash turned into net debt. Look also at 2024 FCF (basically zero) and 2025 FCF (< \$2B). Even if they had wanted to be bold and countercyclically keep capex high, there are external constraints to that, e.g. see this tweet:

<https://x.com/RolfeWinkler/status/2070129216214163575?s=20>

Subject Re: Re: Re: Excess profits
Entry 06/26/2026 12:05 PM
Member GCA

I'm sympathetic to these arguments but am not sure they will be highly persuasive among the Bernie Sanders crowd.

Subject	This weekend's headlines
Entry	06/29/2026 10:15 AM
Member	Thor25
First time I was actually willing to go after MU / SNDK short. I don't see how the overhang of the Korean complex investment plus ramping Chinese capacity doesn't put a lid on these stocks from here. Love to hear the other side of the coin.	
Subject	Re: This weekend's headlines
Entry	06/29/2026 10:44 AM
Member	DLDLT
Other side is that Coatue video and Gavin Baker on the all in podcast.	
Subject	Re: Re: This weekend's headlines
Entry	06/29/2026 10:49 AM
Member	Thor25
I can't w these AI videos and pods anymore but OK I'll listen.	
Subject	Re: Re: Re: This weekend's headlines
Entry	06/29/2026 11:08 AM
Member	pcm983
Lol, well dwarkesh the 26 year old boy genius says agi is coming very soon!	
Subject	Re: This weekend's headlines
Entry	06/29/2026 12:01 PM
Member	GreatAuksRevenge
The capacity additions announced are almost all for DRAM/HBM though, not NAND, right? From a purely fundamental standpoint (ignoring valuation, sentiment, technicals), SNDK way less affected than MU, especially if you think about some of the players that do both who are overallocating CapEx to DRAM vs NAND.	
Subject	Re: Re: This weekend's headlines
Entry	06/29/2026 12:19 PM
Member	Thor25
That is true although feels like we are now in "it's coming" mode. I listened to the Gavin podcast. Agree with him on owning cybersecurity and NVDA being undervalued on a rel basis. His point that they could probably catch up to the frontier models very fast is a good one. We own NVDA and make no money on it. Owning NVDA here vs. being short memory feels ok to me though.	
Subject	Re: Re: Re: This weekend's headlines
Entry	06/29/2026 02:18 PM
Member	Shoe
This time is different with "real" long term agreements and continued pricing upside that result in much much higher through the cycle gross margins than in the past.	
The industry is in shortage well into 2028.	
It's an oligopoly with really 3 main providers - who are clearly being quite disciplined; the oligopolistic thesis that started ~10-15 years ago has been playing out over time.	
Also, this capex announcement isn't "new". They were already spending this money and capex and doing this buildout. It's just Trump style window dressing and fanfare. They're talking about a 15 year spending timeline with some of this coming online in 2047. There's not much new here or detail. It's just trying to put on a show to get some good PR and show that they're reinvesting as they already were. And also to get politicians off their backs.	
Subject	Re: Re: Re: Re: This weekend's headlines
Entry	06/29/2026 03:16 PM
Member	Thor25
I hear you but 110bn of gross PPE (MU) vs. the whole world wanting lower memory prices and clearly lots of double triple ordering and obvious demand destruction. You've done more work and I'm sized accordingly but just feels we are closer than people think.	
Subject	Re: Re: Re: Re: Re: This weekend's headlines
Entry	06/30/2026 12:23 AM
Member	Shoe
MU is still trading at like 5-6x 2027 'whisper' EPS. The move over the last year has been EPS revisions, not P/E expansion. EPS has continued to surprise to the upside. Of course they'll have less upside revisions now, but the multiple still has plenty of room to expand	
Subject	Re: Re: Re: Re: Re: Re: This weekend's headlines
Entry	06/30/2026 12:48 AM
Member	gocanucks97

at what point do we just look at that E in its absolute state, and say \$150B net profit at 90% gross margin and 200% pretax ROIC is just ridiculous? And three memory players in '27 will make 50% of what ALL of tech made in '26.

Multiple is not high, but that E/ROIC is soooooo wrong.

Subject Re: Re: Re: Re: Re: Re: Re: This weekend's headlines
Entry 06/30/2026 02:21 AM
Member Thor25

Agree with this. It doesn't make sense to talk multiples you have to ask if they can really earn 50%+ of the market cap in FCF before the crash in prices. Also, will the tech and political world ever let this play out again? Unlikely, so while the memory makers can feast for now the E post LTA runoff could be really bad.

Subject Re: Re: Re: Re: Re: Re: Re: Re: This weekend's headlines
Entry 06/30/2026 05:11 AM
Member HelmHammerhand

Anyway Micron's management themselves clearly don't think the stock is cheap or a good value here - from their latest 10Q, they continue to pay down MSD-rate debt and stockpile cash, up to \$30 billion on the balance sheet now, even as CapEx steps up to an \$80 billion/year run rate. The only repurchases are to offset SBC.

Subject LTA's
Entry 06/30/2026 05:36 AM
Member TheBeautyContest

Is there anyone here old enough to remember MU's long-term agreements from back in... 2021? The ones that were apparently not honoured during the subsequent downturn. From the CS 2021 conference:

"Sanjay, going back to the idea of how you're running the business differently and how the industry might be a little bit different over time. Last night at dinner, the conversation gravitated to towards LTAs. And I was actually surprised by the magnitude of your revenue now that sits on LTAs. Now it's a little bit different, because it feels like it's more about volume with a lot more flexibility on pricing in these LTAs. But maybe you can talk about kind of the progression of LTAs as a percent of your overall revenue and how these LTAs are structured? And quite frankly, how they change the dynamic of running the business?"

"So about four years ago, about 20% or so of Micron's revenue was based on LTAs. And today, more than 75% of our revenue comes from LTAs. And yes, these LTAs are targeted toward a commitment related to supply and customer forecast. And this is a reflection of how Micron is getting closer with its customers, engaging in, dialogue regarding their future requirements, how those future requirements will shape throughout the quarters and really puts the industry and certainly Micron business in a very different place. It helps bring greater accountability between the customers as well as us. And like you noted, these are based on supply and pricing of course gets negotiated primarily over the course of the LTA period. There are certain parts of the market and market segments such as automotive, where there is agreement on supply as well as on pricing, but primarily the LTAs today again more than 75% of the business on LTAs are around the supply agreements. So this helps bring about greater planning capability, greater predictability, greater consistency. And it really builds a greater relationship of trust over time between the customers and partner like Micron to them. So this is really a good thing. We continuing to drive this forward and our customers welcome this as well, because they too want to see less volatility and greater predictability in the market environment."

What's different this time? Should we believe that they are bulletproof now? I am genuinely asking in order to understand the differences.

Thanks.

Subject Re: LTA's
Entry 06/30/2026 07:14 AM
Member jso1123

The key difference this time is customers are having to put up non-refundable cash. In MU's \$100b RPO number, they have I believe \$22b of non-refundable cash deposited, and as I understand it, this \$22b deposit stays for the life of the contract. I think its agreed that DRAM stays very tight through 2028 (when you get your first material supply additions beginning to enter the market). So at that point, they two years remaining (so ~\$40b in RPO) with \$22b in cash deposits.

Subject Re: Re: LTA's
Entry 07/02/2026 01:15 PM
Member Thor25

I know there's more to it, but \$22bn of cash coverage on a 1trn market cap....as Claude or Chat would say: "That's not protection, that's proof of a trillion dollars in market cap at risk."

Subject Re: LTA's
Entry 07/02/2026 01:24 PM
Member NPCComplete

I can't even imagine how pissed Apple (and other customers) is right now... Supply response will come. Models will become more efficient. This insanity will end. It is just a matter of time - put a multiple commensurate with your view on that. Kudos to people who rode it up to a Trillion+ in market cap.

Subject Re: Re: LTA's
Entry 07/02/2026 01:49 PM

Member

Thor25

"You can shear a sheep many times but skin him only once."

Subject Re: Re: LTA's
Entry 07/02/2026 10:05 PM
Member jazz678

Just curious - as someone who spends very little time (to my detriment) on the AI stack and value chain - I agree that models, and frankly, the entire ecosystem, will become more efficient. margins need to come down across various layers of Jensen's "5 layer cake." Are hyperscalers returns going to moderate? The consensus seems to be that its a really good use of capital - sell side models have margins staying flat and in some instances going up over the next 3-5 years. Don't they become a commodity over time? If the technology works, and the LLMs start gushing cash flow, doesn't Anthropic start building their own if the economics are still attractive?

Subject Hynix ASP miss (and caution on Q3 ASP trends)
Entry 07/29/2026 02:48 AM
Member Thor25

what do we think?

Subject Thinking your AI pair trade was pure alpha but finding out it was just Caucasian Bill Hwang
Entry 07/30/2026 01:56 PM
Member Thor25



Subject Re: Thinking your AI pair trade was pure alpha but finding out it was just Caucasian Bill Hwang
Entry 07/31/2026 03:52 PM
Member cable888

Seems like the Korea casino is back, but back to the earnings print, I feel like there needs to be more awareness that consensus is too high, especially in light of SK Hynix talking down ASP as a result of LTAs. We did see a few estimates get cut but that's not enough estimates to change the narrative. The more obvious downside catalyst is a peak and rollover in DDR5 pricing but not sure when that's going to come unless you have any insight.

Lastly, a contrarian point is the CEO of SK did buy shares yesterday for the first time ever so I'm sure the bulls are emboldened for now.

Subject Re: Re: Thinking your AI pair trade was pure alpha but finding out it was just Caucasian Bill Hwang
Entry 07/31/2026 07:16 PM
Member Thor25

Yeah I have a lot of thoughts on this trying to organize them more -- Kimi 3 and Deepseek change the HBM picture IMO looking out 6 months.

Subject Re: Re: Re: Thinking your AI pair trade was pure alpha but finding out it was just Caucasian Bill Hwang
Entry 09/15/2026 10:00 AM
Member cable888

Thought it would be timely to revisit the topic of lower memory intensity since DeepSeek's new V4.1-Flash model was able to reduce KV cache memory to about 890 bytes per token, roughly 75% lower than the previous V4-Flash and reportedly 437× lower than DeepSeek V1.

Subject Re: Re: Re: Re: Thinking your AI pair trade was pure alpha but finding out it was just Caucasian Bill Hwang
Entry 09/17/2026 02:52 PM
Member SamPR

Additionally, Anthropic CEO Dario Amodei has called for a coordinated and regulated slow-down in AI development.

Subject Re: Re: Re: Re: Thinking your AI pair trade was pure alpha but finding out it was just Caucasian Bill Hwang
Entry 09/17/2026 04:52 PM
Member Thor25

Don't have the energy to do a big write up but if you model the proliferation of the Deepseek V4.1 types of architectures to encompass the majority of workloads (which given the shift from closed to open weight models on Openrouter this year doesn't seem like a stretch) you can get to an oversupply situation in 2027. Also don't see why CXMT will ever slow down with their build out given that DRAM isn't a profit pool for China and being short internal supply is a strategic vulnerability. In the short term, the pricing datapoints remain strong and the sell side and specialist firms remain bullish so the stocks could keep going up, but the warning lights are starting to flash.